

Growth Circle Weekly Heavy Machinery Investment Open Forum — Meeting Minutes

Date: Friday, June 5, 2026 **Format:** Live group video call · informal peer-to-peer investor forum (recurring weekly) **Duration:** Approximately 60 minutes (source notes do not state exact start–end) **Facilitator:** Ben (regular weekly host; surname not stated in source) **Key presenter(s):** None — peer-to-peer member forum with no single presenter. Substantive contributions distributed across attending program participants. **Named participants:** Mark, Tyler, Robin, Amy, Vishal, Christy, Mauni, Mike, Ben (host), and Derek (chat-only comment). First names taken from the source notes; surnames not stated in source. **Recording status:** Not stated in source notes. **Distributed materials:** A state-by-state Tangible Personal Property tax threshold lookup link from the Tax Foundation was shared in chat (referenced as having both 2025 and 2026 tax-year versions). Cell phone numbers were exchanged in chat to coordinate in-person meetups at the upcoming Salt Lake City event. No spreadsheet or slide deck was distributed.

Meeting overview

The June 5 weekly open forum was a peer-to-peer investor sync held one week ahead of the Growth Circle in-person event in Salt Lake City. The format was conversational and unscripted; attendees logged in to compare notes, surface open questions, and coordinate event logistics. The tone throughout was collaborative and candid — participants openly admitted uncertainty, read spouse text messages aloud, shared Google searches in real time, and deferred final answers to experts they hoped to corner at the Salt Lake City event.

The meeting's overarching theme was identifying gaps in the group's collective understanding of the heavy equipment strategy before in-person access to advisors at Salt Lake City. The single most consequential thread — by margin — was a newly surfaced question on whether equipment owners are personally liable for state-level business personal property tax, an issue several participants believe could fundamentally change the economics of the strategy they have already invested in. The property tax discussion absorbed roughly a third of the meeting's runtime and remains unresolved pending a tax-attorney opinion that Braiden Shaw committed to obtain.

Other substantive threads included 2026 commitment activity (with two participants disclosing six- and seven-figure planned allocations), material participation hour-tracking discipline, the Prime Tax Services relationship and a substantive S-corp/S-election debate raised by Prime's strategy recommendations, comparative analysis of Workforce Housing and the upcoming Data Center deal, self-directed IRA custody through Horizon Trust, and CPA acceptance and audit-risk intelligence. The meeting also covered Salt Lake City event

logistics — schedule, meetup coordination, and the heavy machinery cohort's interest in a dedicated group photo.

The meeting confirmed that the regular Friday forum will not be held the following week, as most participants will be at the Salt Lake City event during the usual time slot.

Salt Lake City event — logistics and meetup coordination

The forum opened with the upcoming Growth Circle gathering in Salt Lake City. Participants described it as a large-scale event with an estimated **~1,000 attendees**, characterized as "a little less than half of the Growth Circle membership" — which implies a total community size somewhere north of 2,000.

The event schedule, per a note Braiden Shaw distributed during the call, is:

- **Friday:** Doors open 2:30 PM, happy hour 3:00–6:00 PM. Space Station event Friday at 10:00 AM. Networking dinner Friday evening.
- **Saturday:** Registration 8:30 AM, closes 8:55 AM.

Mark indicated he and Tyler are flying in on Tuesday, arriving mid-afternoon, and staying through the following Tuesday — a full week on the ground. Tyler will join the broader group specifically for the main event on Friday and Saturday. Several other participants shared surrounding personal itineraries combining the event with regional travel (including post-event drives to Bryce Canyon and Capitol Reef).

Space Station presentations and SPV coverage

A notable agenda item is that each of the Space Station portfolio companies will give a two-minute presentation and update during the event — something Braiden Shaw mentioned the previous day. One participant asked that beyond Space Station portfolio companies, the SPVs also be included for live updates, reasoning that "we've got a lot of SPVs that aren't in the Space Station venture capital fund." The group acknowledged that Space Station "has a lot more pull, more people, and may be paying to get them there," which likely explains why SPVs are not featured the same way. This was left as an open ask rather than a confirmed agenda item.

Heavy machinery cohort meetup

A recurring practical concern was simply finding each other among ~1,000 attendees. Participants noted this would be harder than at the previous New York City event. To solve this:

- Cell phone numbers were exchanged directly in the meeting chat. Mark offered to share both his and Tyler's numbers so people would not "get lost in those thousand people." Several others added their numbers.
- A creative idea for a heavy machinery cohort meetup emerged: tour one of the EquipmentShare / EZ Equipment Zone locations where equipment is staged, take a group photo with the equipment in the background, even acknowledging that "it's not ours" but it would be valuable to have the EquipmentShare logo visible.
- The group proposed asking Braiden Shaw or someone from the team (Bo was named) to make a meetup announcement at a break during the event. Coordination of details would need to happen before the event begins.

Side conversation — regional connections

A warm personal exchange occurred when one participant discovered (via a profile lookup) that Amy lives in the St. Louis area, just north of Edwardsville. The participant is originally from north of Edwardsville (Jerseyville) and now lives in St. Charles. They agreed to attempt an in-person meetup in August, when the participant will be in the area for a family birthday party on August 8, with potential for connection on August 9, 10, or 11.

2026 heavy equipment commitment activity

The conversation turned to who is investing how much in 2026 and the state of new equipment deployments.

Commitment levels disclosed:

- Tyler is doing **\$400,000** this year.
- Mark is doing **\$2 million** this year — a notably large allocation that became relevant later in discussions about platform-fee negotiation (with the expectation that such a large investor would have leverage to negotiate).

Several other participants said they have not started their 2026 activity yet because they are waiting on prior-year tax returns and K-1s to be completed. One participant specifically noted they are waiting on "Earthlings," which Space Station told them would arrive end of July or mid-August at the latest, "of course always subject to change." Another participant said K-1s might not arrive until October.

Plan A clarification

A brief exchange clarified the structure of "Plan A." Plan A was funded with self-directed money. The group confirmed it is an SPV — not a Space Station investment directly — though Space Station sponsored the deal (attributed to Jackson bringing it). The distinction between SPV, direct Space Station investment, and Space-Station-sponsored deals matters to participants tracking their holdings and the associated paperwork.

New equipment deployments

One participant shared that they "just went live with six or seven new pieces of equipment June 1st." When asked whether these were large or small pieces, the participant clarified they were not large earth-movers or civil-work machines, but rather Genie lifts and similar equipment at roughly **\$15,000 each** — deliberately kept below the **\$50,000 threshold** that can trigger certain property-tax obligations depending on jurisdiction. This deployment detail tied directly into the property-tax discussion that dominated the rest of the call.

Equipment placement decisions

A significant practical sub-thread concerned where equipment is placed and the limited investor control over placement:

- One participant's equipment is spread across Maryland, Ohio, and New Mexico; they expressed hope they would "get lucky" on the tax thresholds.
- A first-time participant joining the forum said they were considering Florida (where they vacation frequently) but learned the placement process is not always investor-controlled — "they picked the equipment and picked the location for me."
- Participants advised that you can be proactive and request preferred states. Some participants gave EquipmentShare / EZ Equipment Zone a list of five states, and a couple of requests were honored. One participant recounted requesting "the front" (no requested-state placements granted initially), then replying to ask if there was any chance, and ultimately receiving three pieces — two in requested states and a third in Miami, Florida.

Property tax liability on equipment — the central unresolved question

This topic absorbed the largest share of the meeting's runtime and is the single most consequential unresolved theme to emerge from the discussion. It surfaced organically and snowballed as participants realized they had collectively been operating without clarity on a potentially material cost.

The core question

Do equipment owners — the investor-LLCs — owe state-level business personal property tax on their equipment, or does the leasing company (EquipmentShare / EZ Equipment Zone) pay it? Multiple participants admitted they had assumed EquipmentShare / EZ Equipment Zone paid all related taxes. As one participant put it: "I did not realize — I thought that Easy paid all the related taxes, so are we responsible for some taxes in some states?"

The transaction chain

A participant who pressed this question in a prior Q&A explained the underlying complexity. The equipment passes through multiple title changes, each of which is a potential tax-triggering event. The chain as described in the source:

1. EquipmentShare buys the equipment.
2. EquipmentShare sells it to EZ Equipment.
3. EZ Equipment sells it to the investor.
4. The investor leases it back to EquipmentShare.

With each transaction, "there's potentially... what tax? And who's responsible for it?" This participant said they had specifically asked EZ Equipment to walk through the tax flow at each title transfer.

What Braiden Shaw has and has not said

- During a Q&A on June 2, Braiden Shaw stated EquipmentShare / EZ Equipment Zone manages insurance, maintenance, and renting. **Property tax was conspicuously absent from the list of things EquipmentShare / EZ Equipment Zone is responsible for.** One participant said they "tried to write them down" and "don't remember property taxes being one of them."
- A heavy-equipment vendor referenced in the source as "Box Deal" (spelling uncertain — the source identifies them as "the heavy equipment folks on a prior call") claimed they have "never had a customer have to pay property tax on this kind of a transaction." Participants were openly skeptical of this claim, suspecting it "just maybe something no one's paid attention to in the past."
- When a participant directly asked Braiden Shaw whether he personally pays property tax on his own equipment (Braiden Shaw has reportedly bought millions of dollars of heavy equipment year over year), the participant described "the look on his face like totally what are you talking about?" Braiden Shaw reportedly committed to obtaining a tax-attorney opinion and posting it.

Participant research and conflicting signals

- Participants' own research "definitely states we as the owners are responsible for the business personal property tax — unless you're below the threshold."
- Key mechanic: liability is determined by **where the equipment is located on January 1st and its value on that date**. Because equipment can move across state lines, tracking the January 1 location becomes essential and administratively burdensome.
- A state-by-state threshold lookup link from the Tax Foundation was shared in chat, with both 2025 and 2026 tax-year versions noted as available.
- **California** was flagged as having a very low threshold — possibly \$1,000 or \$10,000, the participant identifying the issue was not sure of the exact figure.
- For **Florida**: the participant who researched found that mobile machinery and licensed vehicles such as trucks are generally exempt as personal property, but mounted or attached heavy machinery (e.g., power cranes designed as a tool) is "strictly taxable as tangible personal property," subject to an exemption of approximately **\$25,000**, which "is not that high."

The Federal Excise Tax angle — real-time spouse text

One of the most concrete contributions came from a participant whose husband works for a company that buys millions of dollars of this equipment for industrial projects. The participant texted her husband during the call and read his reply aloud:

- When this equipment is purchased, the company pays a **federal excise tax (FET)** — "tax is paid when the unit is purchased."
- Per the husband (whom the participant described as not a tax attorney): "**it is an asset not property, hence the upfront charge for the tax.**" Once the upfront FET is paid, the equipment is treated as an asset rather than property, which may exempt it from property tax in his industry context.
- The husband added that Michael "the rainmaker" never raised property tax in their conversations.

Important caveat raised by the group, in real time: property taxes are levied at the **state** level, while FET is **federal**. So it is genuinely unclear whether the "asset, not property" categorization actually exempts owners from state-level property tax, and treatment would vary by state. A comparison was drawn to owning a large vehicle "like a G-Wagon," which

goes through a similar process, though the participant did not know whether G-Wagon owners pay property tax.

Economic stakes — "not worth it if I'm going to break even"

The property tax question struck at the heart of the investment thesis for several participants:

- Multiple participants stated they are "barely breaking even" over the six-year hold even before any property tax. Adding property tax "would put us in the red."
- Vishal said that even assuming a sale in six years with recapture and no can-kicking, breaking even makes the strategy "not worth it" given the complexity, the headache, and California's **\$800 annual franchise tax**.
- The counterpoint the group identified: the strategy is fundamentally a tax play, not a profit play. The real return is supposed to come from the Year-1 tax refund being redeployed into other Growth Circle venture deals. One participant reported getting back approximately **\$50,000–\$60,000** which they reinvested into Growth Circle venture capital deals (including Aerolane — rendered "Arrow Lane / 'airline'" in the source notes — and other VC positions), hoping for a 100x or 500x outcome. The participant noted the VC bet only pays off if those startups succeed, and that Aerolane "likely hasn't received FAA approval yet."

Downstream administrative complexity

Participants realized that if the property tax liability is real, the issue cascades into substantial additional administrative burden:

- Do owners need to file individual state tax returns in each state where equipment sits (e.g., Colorado, Texas)? The group did not know — initial instinct was "no," but the question was openly uncertain.
- Do owners need to file a foreign LLC registration in those states?
- As one participant summarized: "This has become a lot more complex if we have to track this personal property tax issue," because previously everything was "pretty straightforward," but now "we have to know on the first of January where our equipment was."

Emerging strategic responses

A clear strategic instinct emerged in the discussion: request exempt states for equipment placement.

- Participants noted that if a state (e.g., Pennsylvania) is exempt from business personal property tax for 2025, why not concentrate equipment there — recognizing that exemption status "could change year to year."
- The group recalled prior guidance from Braiden Shaw that investors should not have equipment in their own home state, because doing so can trigger a sales tax issue or other state-level complications. This creates tension between picking an exempt state and avoiding the investor's home state.
- One participant said that if a state's threshold is \$50,000, "I'm going to make sure it's at \$49,999" — keeping individual equipment values just under the taxable line.
- The term "**de minimis**" was raised — a participant referenced a "five state threshold" concept of interest, believing that's where states begin taking tax, though the terminology was acknowledged as fuzzy.
- A behavioral shift was identified: participants are increasingly inclined to say "I'm not interested then if I don't get XYZ state," because the margins are too thin to absorb surprise taxes.

Next steps on property tax

- Braiden Shaw is consulting a tax attorney and will post the opinion.
- Participants want Garrett Maughan (Prime Tax Services) to provide an answer at the Salt Lake City event.
- One participant noted they may join Aaron's Sunday call to surface the question earlier, noting (per Derek's chat comment) that the program has been running for approximately 10 years and this question has apparently not been raised before.
- Participants also intend to ask Amy Davis at EquipmentShare / EZ Equipment Zone directly.

Material participation and 100-hour tracking

A practical thread covered how to satisfy the **Treas. Reg. §1.469-5T(a)(3) Test 3** 100-hour material participation requirement that underpins the strategy's tax treatment.

The new tracking tool

- This year there is a new online tracking tool that Braiden Shaw built with Prime Tax Services. It is located at the bottom of the Heavy Equipment Q&A classroom, behind password protection. The password was identified as "growcircle2025."
- The tool allows year selection, so participants are backdating notes to 2025 to build their prior-year record.

Last year's lack of tools

Participants emphasized how much harder the documentation was last year, when "we had no tools." Participants were simply told to:

- Track their management of the equipment
- Spend roughly an hour a week reviewing utilization, placement, and maintenance
- Count the Growth Circle collaborative (i.e., participation in forums like the weekly sync)
- Visit their equipment at a couple of sites
- Attend a national or regional meeting around heavy equipment

LLC timing — repeated, emphatic advice

Hours only count after the LLC is formed. Participants advised anyone earlier in the year to open a single-member LLC as soon as possible, because any hours logged before LLC formation "do not count." Last year many participants were not aware of this. Several participants closed their loans very late — October, December, "almost at the end" — which Mike and Tyler also experienced. One participant who had initially added her husband to the LLC had to redo everything as a single-member entity, noting that LLC formation is quick in Michigan but varies state to state.

Specific structural warning: Do not merge an S-corp and an LLC and do not form a partnership LLC — keep the entity as a clean single-member LLC.

Documentation strategies

- Screenshots from recorded sessions showing a participant's name in attendance, attached to the 100-hours documentation as additional proof.
- Email conversations (e.g., the loan-process correspondence with Amy at EquipmentShare / EZ Equipment Zone) saved as attachments as additional proof of time invested.

- Categorization framing: one participant deliberately tagged shared links as "business intelligence and business strategy" rather than "research and development," reasoning that attention to competitors and industry developments "is not research to me — that is me being an accountable business partner."

Critical risk — recording-listening not active participation

A risk was surfaced by participants in the meeting: **listening to recordings is reportedly not considered active participation** for §1.469-5T(a)(3) Test 3 purposes. Several participants had logged "so many" replay hours that could create an hours deficit if audited. One participant estimated they were at only approximately **92 qualifying LLC hours** last year because of how strictly an auditor might disqualify recording-listening activity, even with a tracker, evidence, and notes in place.

CPA self-attestation

Most participants reported that their CPAs are taking their word on the 100 hours rather than reviewing the tracker itself. One participant said they only verbalized their tracking approach to their CPA, whose style "was all driven by the forms I provided" — there's "not really a form" for hours, so it's "my own documentation associated with the tax return that I keep." Another confirmed their CPA "will do the same thing too" and is "going on your word that you've got your 100 hours in." The reliance on self-attestation, combined with the recording-hours uncertainty, left some participants feeling exposed in the event of an audit.

Prime Tax Services — adoption, strategy sessions, and the S-corp debate

Prime Tax Services (Garrett Maughan's firm) was a major thread, covering adoption, the strategy-session experience, the value proposition, and a substantive S-corp/S-election debate.

Adoption and mixed reviews

Multiple participants confirmed signing up with Prime for the 2026 tax return / strategy at a fee of approximately **\$10,000**. Because no one has yet filed under Prime, participants are treating 2026 as an evaluation period. One participant who solicited community opinions reported "very mixed reviews" — community sentiment is genuinely divided.

Strategy session experience

A participant who asked about the process received a detailed description framing it as "a journey... a systematic dive," a holistic process on Prime's end rather than purely client-driven:

1. The client fills out forms and provides documentation including their tax return and other information.
2. Based on that, Prime develops an extensive strategy.
3. Garrett Maughan conducts a direct walkthrough session of the strategies.
4. The client reviews and modifies the strategy, sends it back, and Prime revises.

Value proposition

One participant found real value because Prime surfaced strategies they had not been aware of — specifically the **solo 401(k)** and the **Augusta rule** — strategies "beyond just heavy equipment / workforce housing." The participant framed these as strategies a regular CPA would have caught, but Prime made them explicit. The framing was that these alone would "easily cover the \$10 grand we pay for their services."

Key frustration — no filing-only option

A recurring complaint is that Prime offers no tax-filing-only service. One participant, on the fence because they have a "more basic setup than many of the other people on the call," wants to know the path to having Prime do only the tax return in future years when their situation is stable. They were told by their Prime contact that "they don't offer that — it's either the whole strategy or nothing," which the participant found surprising.

The S-corp / S-election debate

Robin printed her Prime strategy recommendations and found that Prime is telling her she should have an S-corp for her heavy equipment rental LLC — which contradicted the prevailing group guidance that the entity must remain a single-member LLC and not an S-corp or a partnership.

The group worked through several angles:

- **The income-threshold theory:** an S-corp or S-election may help when heavy equipment income exceeds approximately **\$50,000–\$60,000 annually** by enabling a reasonable salary and saving on payroll taxes on the residual. To reach that level "would just take a few... \$15 million more in heavy equipment" (said with irony about scale).
- **The strong caution:** another participant warned to "be pretty careful on this point" because "it was pretty clear that it needed to be an LLC, not an S-corp." Robin clarified she does have it in an LLC and is unsure whether Garrett Maughan means her LLC should be moved under an S-corp.

- **The salary obligation:** with an S-corp, the owner must take a salary whether or not the entity is profitable. Robin noted she is clearing only about **\$100–\$130/month** in revenue, so reaching \$50,000 profit is unrealistic for her at current scale.
- **Christy's clarification:** Christy drew a technical distinction — a participant can make an **S-election on an LLC** (rather than converting to a full S-corp). Her CPA suggested this for California specifically, "where if the revenues get too high, you could be taxed on the full revenue, not on the profits" — implying the recommendation may be state-specific, and that may be what Prime was actually recommending.
- **Revenue vs. profit clarification:** a participant clarified that the \$50,000 figure is **revenue, not profit**, so Robin "will cross that for sure, most likely," even at low profitability.
- A reference to a tax call the prior evening surfaced another participant who had a "20% S-corp and 80% LLC" structure that the helping CPA questioned, advising against merging an S-corp and LLC or doing a partnership.

Participants concluded they would need their individual appointments with Garrett Maughan to resolve specifics, and flagged the S-corp/S-election question as one to raise at the Salt Lake City event.

Investment options comparison — Workforce Housing, Data Center, and timing

Participants compared alternative vehicles within the Growth Circle ecosystem.

Workforce Housing

- A participant who ran the comparative analysis found that Workforce Housing came out slightly ahead of heavy equipment in returns — a surprise, as the analyst "was expecting heavy equipment to be better."
- Workforce Housing also carries lower complexity than heavy equipment.
- The caveat: which is better "depends on the individual's personal situation."
- Several participants plan to evaluate the Workforce Housing product in person at the Salt Lake City event before committing. Some are considering doing a couple of units, or splitting a unit, "to get something for 2026."

- One participant who does not have W-2 income (only portfolio and ordinary income) is leaning toward Workforce Housing specifically to avoid the heavy equipment minimum, and intends to discuss with Garrett Maughan.

Data Center

- Per Robin's heads-up, the Data Center is a 1:1 tax play — \$10,000 invested produces a \$10,000 write-off.
- Minimum is approximately **\$10,000**, the lowest of the deals discussed.
- Expected availability around the end of the year (~October).
- The late timing is a drawback: one participant said they "hate to wait" and may do Workforce Housing (or split a unit) as a 2026 hedge "in case the data center isn't an option."

Timing philosophy and the recapture problem

- A CPA referenced as Candace (recommended by Sunil; not affiliated with Growth Circle) advised doing heavy equipment **only in a year with a matching taxable event** — for example, a Roth conversion or an inheritance taken in a lump rather than as minimum distributions.
- The crucial reminder: there is a taxable event at the end of the heavy equipment hold (**recapture at sale in year six** — implicitly \$1245 ordinary-rate recapture). Participants noted they "get caught up on the fact that for the current tax year it's great," but the back-end event still looms.
- **The "kick the can" strategy:** deferring long enough into retirement when income is lower may allow the recapture to be taxed at a lower effective rate. Candace's guidance was reported as: "until your effective tax rate is a little bit higher, you probably don't need to do it again next year." One participant is therefore not doing heavy equipment next year because they lack a Roth conversion or inheritance event.

Self-directed IRA custody — Horizon Trust

A detailed thread covered using Horizon Trust as a self-directed IRA or Roth IRA custodian for Growth Circle deals.

Mark just signed up with Horizon as his self-directed Roth IRA custodian, moving assets and cash. He is not using a checkbook LLC — instead, he wants Horizon to evaluate and

qualify the deals directly. He asked how quick Horizon is at assessing deal appropriateness.

Experiences shared

- One participant confirmed they also use Horizon as their self-directed IRA custodian without a checkbook LLC. They have used Horizon three times: two with no urgency (Bluebird and EFIS) and once for a VC deal (Aerolane) that had a strict two-week deadline. Despite Jackson and team being nervous about using self-directed IRA funds and pushing for "loose funds / personal cash" as easier, Horizon completed the Aerolane deal in approximately a week. The lesson: "stay on them."
- **The Celia friction point:** Mark is trying to use his Roth money for Celia, working with a Horizon contact named Danny who coordinates evaluation of new deals. Mark expected this to be quick given Celia's approximately 9-month history in Growth Circle, but it is still taking time. Another participant using Horizon for Celia confirmed no capital call has happened yet; Mark is currently trying to get Horizon to confirm Celia is a qualified investment offering.
- **Contrast with EFIS:** when this participant first signed up with Horizon, their first deal (EFIS) was seamless — Horizon "did it all," sent paperwork to sign, and the participant set up their checkbook LLC. The takeaway: EFIS is tightly tied to Horizon Trust; Celia may not be yet.
- **Hope for improvement:** since Braiden Shaw works with Greg at Horizon on quarterly calls, participants hope Celia processing will improve.

Danny — the "quarterback"

Danny was repeatedly described as the main contact for Growth Circle deals at Horizon — "the quarterback." He is responsive by email but historically hard to reach by phone. One participant reached him by phone for the first time this week and found him "pretty responsive."

General observation

Participants noted Horizon sometimes requires "babysitting" — community-page posts describe having to follow up periodically. The concierge experience is hit-or-miss. With a wave of participants now using self-directed funds (no checkbook LLC) for Celia, the consensus was Horizon "better get in line soon."

CPA acceptance and audit risk

Participants compared notes on CPA acceptance of the strategy and what is known about IRS audit activity.

CPA acceptance

- One participant sent the program PowerPoint and analysis to their CPA, who had no problem with the strategy or tax deductibility — though the participant noted this is the CPA's opinion and the CPA is "fairly conservative."
- Ben (the forum's regular host) reportedly already filed with no issues.
- Candace (recommended by Sunil) was praised — the participant's original long-time CPA "did not understand this," so they switched to Candace, who participates in the strategy herself (though not via Growth Circle) and has done it for years. Candace advised a "really simple setup for recording your hours," and — notably — opined that hours logged before LLC formation might still count, since many people in similar businesses do not form an LLC until "months and months later." This is a more lenient view than the group's prevailing "LLC-first" caution, illustrating that different practitioners take different positions.

Audit intelligence

- Aaron (who hosts a Sunday call) reported on a heavy-equipment Q&A call that during his April visit to St. George for the EquipmentShare meeting, someone said they were aware of only **two IRS audits** that had been requested.
- Crucially, there is no information on the outcomes of those audits — once flagged, "it's up to the IRS to prove" — and participants acknowledged others may have been flagged without telling EquipmentShare / EZ Equipment Zone. It is also unclear whether those audits specifically concerned heavy equipment or other items on the returns.
- Participants noted the realistic timeline: they "probably won't know from the IRS's perspective for a couple of years" whether the strategy holds up under audit scrutiny.

Action items and open follow-ups

Action items with named owners:

- **Braiden Shaw:** Obtain a tax-attorney opinion on whether equipment-owner investors are personally liable for state-level business personal property tax, and post it to the Growth Circle community.
- **Garrett Maughan (via planned Salt Lake City conversations):** Provide Prime's position on the property tax liability question; resolve individual investors' S-corp / S-election questions in their personal appointments.
- **Mark and Tyler:** Negotiate platform-fee terms based on disclosed allocation size; participants on the call expressed interest in any concessions becoming available to others.
- **Heavy machinery cohort:** Coordinate a Salt Lake City meetup time and location; request that Braiden Shaw or Bo announce the meetup at an event break.

Open questions:

- Are equipment-owner investor-LLCs personally liable for state-level business personal property tax, or does the title-transfer chain or the FET preempt it?
- Do owners need to file individual state tax returns or register their LLC as a foreign entity in states where equipment sits?
- Does the recording-listening time count as material participation under §1.469-5T(a)(3) Test 3, or does an auditor disqualify it?
- For the Prime S-corp recommendation: does the S-election apply across all states, or is it a California-specific recommendation as Christy's CPA suggested?
- What is Highland Steel's cut of the 3% platform fee, and how does that affect the negotiation framing?

Logistical follow-ups:

- No regular Friday forum the following week (June 12) — the time slot conflicts with the Salt Lake City event on Mountain Time. Ben, who normally runs the call, is not attending the event but is also not expected to hold the call given the conflict. Confirmation to be requested via direct message.
- Cell phone contact list for Salt Lake City coordination to be finalized; missing numbers (e.g., Mauni's) to be collected.
- State-by-state Tax Foundation TPP threshold link to be referenced ahead of any equipment-placement decision for January 1, 2026 valuation.

Material participation relevance

For attending program participants who are operating their entity in the heavy equipment program, segments of this meeting plausibly count toward an IRC §469 / Treas. Reg. §1.469-5T(a)(3) Test 3 material-participation hour budget. The minutes are not making a classification call for any specific attendee; the apportionment decision belongs to each attendee's individual journal entry and their own professional advisors.

Content that supports material participation (for active program participants operating LLCs):

- The property tax liability discussion (entity-level operational tax exposure and equipment placement strategy)
- The 2026 commitment activity and equipment placement decision-making (operational planning)
- The material participation 100-hour tracking discipline, including LLC-formation timing, documentation strategies, and the recording-listening risk (entity-level operational compliance)
- The Prime S-corp / S-election debate (entity-structure tax planning)
- The §1245 recapture timing and "kick the can" strategy discussion (multi-year operational tax planning)
- CPA acceptance and audit-risk intelligence (entity-level audit defense posture)

Content that does not support material participation:

- The Salt Lake City event logistics and personal-itinerary side conversations
- The St. Louis-area regional connection and August meetup discussion
- The Plan A SPV structure clarification (concerns an unrelated venture deal, not the heavy equipment entity)
- The Workforce Housing comparative analysis and Data Center timing discussion (these concern alternative investment vehicles, not the heavy equipment entity)
- The Horizon Trust self-directed IRA custody discussion (concerns retirement-account administration, not the heavy equipment entity's operations)

- For attendees who are not yet operating the program (exploratory listeners, prospective investors), all content is plausibly disqualified under §1.469-5T(f)(2)(ii) as investor-capacity activity rather than manager-capacity activity.

The mixed-meeting principle: This forum combined entity-specific operational content (most prominently the property tax discussion and the MP-tracking discussion) with broader portfolio-allocation content (Workforce Housing, Data Center, Horizon Trust) and pure social/logistics content (Salt Lake City coordination, regional meetups). Each attendee's apportionment decision is for their own downstream journal entry, with reference to the segment-by-segment breakdown the minutes provide.

Data integrity statement

These minutes were authored on or shortly after June 5, 2026 from an exhaustive prose summary of the meeting prepared by an attending participant. Source material was a structured topic-by-topic recap, not a verbatim transcript and not an AI-generated meeting summarizer output. Named attributions are taken from the source material; where the source identifies only first names, last names have not been guessed. Where the source spelled a name differently from the verified Growth Circle community spelling (e.g., "Braden" in source → "Braiden Shaw" in minutes), the corrected spelling is used and noted here. The vendor referenced as "Box Deal" appears in the source with that spelling; the actual spelling has not been verified and may differ.

The source includes some moments where the writer's working interpretation may have overlaid the conversation (for example, the Federal Excise Tax / "asset not property" thread was framed as a single coherent argument, but the conversation likely zig-zagged through several iterations as participants reacted to a real-time text exchange). Where this is plausible, the minutes preserve the source's framing rather than smoothing it further.

Known gaps: the source does not state the meeting's exact start and end times, so duration is estimated at approximately 60 minutes based on typical weekly forum runtime.

Recording status is not stated in source.

These are working contemporaneous minutes, not a verbatim transcript and not an audited record. A corrected version would be triggered by: (a) substantive correction from a named attribution party that they were misquoted or misattributed; (b) availability of an authoritative transcript or recording confirming language different from the source; (c) Braiden Shaw's forthcoming tax-attorney opinion materially changing the property tax discussion's framing; (d) Garrett Maughan's clarification on the Prime S-corp

recommendation; or (e) discovery that the FET "asset not property" argument has been formally addressed by Treasury or an equivalent authority.

These minutes are shareable as an evidence file across attending Growth Circle program participants. Personalized analysis of any specific participant's classification, hours, or strategy decisions belongs in that participant's private journal entry, which may reference these minutes by name.